PACLAND · Money and models, in plain words

What we checked, what we found, and what to do next. One page, no jargon.

1 · The question

Somebody forecasts growth, inflation or jobs every day. The interesting question is not whether the forecast is clever, but whether it beats the dumbest possible guess.

2 · What we found

- “Same as last time” is hard to beat for inflation. Our textbook model was 3% worse than simply guessing inflation stays put — and so was the same model using the published settings of the famous central-bank version. Being clever did not help.
- Some numbers cannot be measured from totals at all. We asked a method to recover a value we knew in advance, 0.18, from perfect fake data: it answered 1.00. The totals do not contain the answer, and more data will not put it there.
- The accounts add up; the inflation-adjusted version does not. Total spending equals households + business + government + trade to within one part in ten thousand — but the inflation-adjusted version leaks by up to 25 points in 2020, like adding a metre to a yard and calling it a total.

3 · The best we have right now

The Atlanta Fed's GDPNow: four times better than the simplest guess at nowcasting GDP, and still three times better scored against the revised figures. Second is a plain statistical model, 14% better than the guess one quarter ahead. The best of our structural models does not beat the guess at all — that is the finding, not a footnote.

4 · How we refine it

- Publish the comparison. No forecast should appear without its “same as last time” number beside it — ours are published with it, including where they lose.
- Refuse impossible fits. A fitted model is checked against the accounting rules before it gets a results table; that check has already refused one.
- Change the evidence, not the quantity. The unrecoverable numbers need different data — fast-moving prices, differences between firms — not more of the same totals.

5 · What this means for the world

A verified-forecast label is now possible: how many things a model was checked against, whether it passes the accounting rules, and whether it beats the simplest guess. That is what a reader, a regulator or a journalist actually needs — and nobody publishes it today.

6 · What this cannot do

It cannot give a certified inflation number for next quarter. The exact part of economics is bookkeeping, and the interesting numbers are not recoverable from the totals. That is not for want of effort — it is what the data is.